

Unit 14**Power, Politics, Conflict,
Negotiation and Stress****Structure:**

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14.1 Introduction

In the previous unit, we dealt with the overview of leadership, role of leadership in contemporary business, theories of leadership, contingency theories of leadership, and new leadership theories. In this unit, we will deal with the concepts of power, politics, conflict, negotiations, and stress.

Organisations are complex, and there are several issues that we have to address in managing them well. Power, politics, conflict, negotiations, and stress are five such interrelated issues that we learn in this unit. Power is important because it is through power that we influence people to get the goal achieved and therefore fundamental to the organisation. While doing it, many would attempt to gain influence through unfair means for selfish reasons and managing this is important. This is called politics. Organisations and people have goals and hence contenting goals and consequent conflict is inevitable, and we have to make strategies to manage them and negotiate where required. In addition to these, several other factors create stress today and without managing them, organisational effectiveness will reduce. Thus in this unit, we will discuss these important issues.

Objectives:

Learning objectives are to:-

- To gain an overview of power and its impact on organizations.
- To understand organizational politics.
- To learn about conflict and be capable of managing these.
- To understand negotiations.
- To learn about stress.

Learning Outcomes

After studying this unit, you will be able to:

- describe power and its impact on organisations
- recognise organisational politics
- explain conflict and the ways of managing conflict
- describe the concept and strategies for negotiations
- explain the concept of stress

14.2 Power

Power can be categorised into two types. They are:

- Formal
- Informal

Formal power

In an organisation, formal power comes by virtue of position. There are four components which facilitate this. They are:

- **Coercive power** – A manager can coerce a person on the threat of warning, cutting of pay, holding of promotions, etc.
- **Reward power** – A manager can reward a person and therefore, he gains power over the subordinates because the subordinate is willing to accept the orders of the manager to gain the reward.
- **Legitimate power** – This comes because of the position and the belief that some things are supposed to be done when told by a person in that position. The right to command is drawn from the rules and regulations of a society or organisation including its norms.
- **Information power** – This is derived from access to and control over information. When people need information, others become dependent on them. (For example, managers have access to data that

subordinates do not have). Normally the higher the level, the more information would be accessed by managers.

Personal power

This does not depend on the position but relies on other factors such as:

- **Expert power** – Here, a person is able to control or influence another person because of possessing knowledge, experience, or judgment that the other person lacks, but needs. Even a subordinate may exercise such a power on the superior especially in knowledge economy.
- **Rational persuasion** – **Rational persuasion** is the ability to control another's behavior by using logical arguments. For example, persuading a person the benefits of exceeding the target which would give him an incentive which can be used for a holiday.
- **Referent power** – Referent power refers to the ability of a leader to influence a follower because of the follower's loyalty, respect, friendship, admiration, affection, or a desire to gain approval. Referent power is gained by a leader who has strong interpersonal relationship skills. Referent power, as an aspect of personal power, becomes particularly important as organisational leadership is increasingly about collaboration and influence rather than command and control.
- **Charismatic power** – Charismatic power is based on the leader's exceptional personal qualities or the demonstration of extraordinary insight and accomplishment, which inspire loyalty and obedience from the followers. As such, it rests almost entirely on the leader, and in his absence, it gets dissolved.

Influence

The purpose of power is to influence people. There are eight basic types of influence tactics. They are listed and described in the Table 14.1.

Table 14.1: Types of Influence Tactics

Tactics	Description	Examples
Pressure	The person uses demands, threats, or intimidation to convince you to comply with a request or to support a proposal.	If you don't do this, you're fired. You have until 5:00 to change your mind, or I'm going without you.
Upward appeals	The person seeks to persuade you that the request	I'm reporting you to my boss. My boss supports this

	is approved by higher management, or appeals to higher management for assistance in gaining your compliance with the request.	idea.
Exchange	The person makes an explicit or implicit promise that you will receive rewards or tangible benefits if you comply with a request or support a proposal, or reminds you of a prior favour to be reciprocated.	You owe me a favour. I'll take you to lunch if you'll support me on this.
Coalition	The person seeks the aid of others to persuade you to do something or uses the support of others as an argument for you to agree also.	All the other supervisors agree with me. I'll ask you in front of the whole committee.
Ingratiation	The person seeks to get you in a good mood or to think favourably of him or her before asking you to do something.	Only you can do this job right. I can always count on you, so I have another request.
Rational persuasion	The person uses logical arguments and factual evidence to persuade you that a proposal or request is viable and likely to result in the attainment of task objectives.	This new procedure will save us \$150,000 in overhead. It makes sense to hire John; he has the most experience.
Inspirational appeals	The person makes an emotional request or proposal that arouses enthusiasm by appealing to your values and ideals or by increasing your confidence that you can do it.	Being environmentally conscious is the right thing. Getting that account will be tough, but I know you can do it.
Consultation	The person seeks your participation in making a decision or planning how to implement a proposed policy, strategy, or change.	This new attendance plan is controversial. How can we make it more acceptable? What do you think we can do to make our workers less fearful of the new robots on the production line?

Empowerment

According to Gallup Research, organisations utilise less than 20% of their employee's potential. Developing employee potential requires an organisational culture that inspires the employees to learn, grow, and give their very best. In such a culture, innovations which require new employee behaviours which are adopted can take root. Employees choose to go the extra mile expending their discretionary energy for the sake of the organisation. Employees choose to invest themselves in the organisation rather than be available to the highest bidder. For most organisations, developing this untapped employee potential is their key competitive advantage for competing in the marketplace or retaining top talent. You can identify an organisation without empowerment from the following indicators:

- Blaming and victim mentality
- Fear of making decisions
- Lack of participation in decision making
- New ideas not taken seriously
- Leaders vs. employees mindset
- Distrust and cynicism
- Apathy and burnout
- Thoughts or feelings not freely expressed for fear of repercussion
- Learning and growth opportunities not being actively pursued
- Gossip and back biting poisoning the work environment
- People feel unappreciated
- Lack of recognition for contributions
- Top talent leaving for better opportunities or work environment

Self Assessment Questions

1. Power is of two types_____and_____.
2. "Getting that account will be tough, but I know you can do it". This is an example of using_____as a tactic for influence.
3. Expert power is about possessing_____, experience, or judgment that the other person lacks, but needs.

14.3 Politics

Organisational politics refers to the use and manipulation of situations, power, and people to secure their position and gain from the situation. It may be done by letting others down and by increasing their own power, image, and status within the organisation. The results or the benefits can be tangible or intangible, depending upon the situation. Politics at workplace is a game that can be played equally well by a single player or teams together. Often cliques are involved in it. It can result in the interest and benefit of the organisation or go against it, can benefit those who don't play or can throw them out of the organisation. It is a double edged sword which can either create a happy, dynamic, and improved environment at the workplace or can destroy it. Politics at workplace is often hard to resist and be away from. It compels and makes you compete. Although it is practically impossible to make a workplace free from the politics, the organisation and the employees can follow certain ethics for themselves to make their workplace healthier. Some of these ethics are:

- ***Living at peace with others*** – The easiest way to avoid problems with politics is to get along with people. You can be pleasant and professional, while at the same time being assertive when necessary. If you have a concern, focus only on the issue, not on the person. If you have to refuse a request, explain why and try to come up with alternative solutions. Carefully choose sides during office power struggles and preferably avoid it.
- ***Keep the talk inside*** – Every organisation has issues. Keep those inside the organisation and discuss it there. Bad mouthing harms you as much as it harms the organisation.
- ***Be helpful*** – We all have responsibilities and objectives, and those things should receive priority. Nonetheless, if it doesn't take too much time, being helpful to others can reap benefits for you. It can be by giving a ride, helping with an Excel macro, etc. By doing these things, you're building political capital and loyalty. In doing so, you reduce the chances that you will be the victim of a political intrigue.
- ***Stay away from gossip*** – Nothing destroys the dynamics of an office more than gossip. Stay away from it, because nothing good comes from

it. Don't try to lecture co-workers on the evils of gossip but subtly change the subject.

- ***Avoid the talking-ill-of-the-boss sessions*** – Suppose your co-workers start complaining about the boss and you join in, it makes you look disloyal to the boss. If you don't, it looks awkward in the group. So, try changing the subject by linking the boss to another topic, then talking about that topic instead.
- ***Be straight forward*** – The best way to keep out of trouble politically is to be seen as someone who doesn't play office politics – in other words, a straight arrow. Do what you say you're going to do, alert people to problems, and admit your mistakes. Others will respect you, even if they don't always agree with you. More important, you have a lower chance of being a victim of politics.
- ***Address the issue of politics openly when appropriate*** – Do not be afraid of office politics. Address it directly.
- ***Document things*** – Nothing saves a job or career more than having a written record. If you believe a matter will come back to haunt you, make sure you keep a record of the matter, either via e-mail or document. Documentation is also an effective way to highlight your own accomplishments, which can help you when your performance evaluation is conducted.
- ***Set incentives to foster teamwork*** – If you're a manager or senior executive, take a closer look at your incentives. You might, at times, be setting up staff to work against each other. Does the metrics address only individual departments, or are they cross functional. If you reward employees in a department based only on how well that department does, you may inadvertently cause destructive competition among departments.
- ***Set an example*** – People in an organisation look to leadership to see how to act. Do you want your staff to refrain from negative politics? Do you want to see collaboration and teamwork instead of petty rivalries, jealousy, and back-stabbing? Act the way you want your staff to act, and they will follow you.

Self Assessment Questions

4. Organisational politics refers to the use and _____ of situation, power and people to secure their position and gain from the situation.
5. There are many organisations that work in an environment completely free of organisational politics. (True/False)
6. In relation to office politics, if you feel that something will come to haunt you, it is better to keep a _____.

14.4 Conflict**Definition of conflict**

R. W Woodman defines conflict as "any situation in which incompatible goals, attitudes, emotions, or behaviours lead to disagreement or opposition between two or more parties." There are several other definitions, but we can put them together and conclude that conflict arises when:

- Individuals or groups perceive they have mutually exclusive goals or values
- Behaviour is designed to defeat, reduce, or suppress an opponent
- Groups are opposing each other with mutually opposing actions and counter actions
- Each group attempts to create a relatively favoured position vis-a-vis the other

Types of Conflict

Conflict can be classified in many ways. Some of the classifications are discussed below:

Based on utility of conflict

The traditional view is that all conflicts are dysfunctional and hinders performance. The human relations view believes that conflict is a natural occurrence in all groups and organisations that it cannot be eliminated and may even contribute to group performance. The Inter-actionist view actually encourages conflict on the assumption that a harmonious, peaceful, tranquil, and cooperative group is prone to becoming static and non-responsive to needs for change and innovation unless they maintain enough conflict to keep the group viable, self-critical, and creative. Based on these, the outcomes of conflict could be one of the following described in Table 14.2:

Table 14.2: Outcomes of Conflict

Positive Consequences	Negative Consequences
1. Leads to new ideas	1. Diverts energy from work
2. Stimulates creativity	2. Threatens psychological well-being
3. Motivates change	3. Wastes resources
4. Promotes organisational vitality	4. Creates a negative climate
5. Helps individuals and groups establish identities	5. Breaks down group cohesion
6. Serves as a safety valve to indicate problems	6. Can increase hostility and aggressive behaviours

Based on the organisational outcomes

Based on this, we classify it into functional and dysfunctional conflicts. Functional and constructive forms of conflict support the goals of the group and improve its performance. Task conflict relates to the content and goals of the work. Low-to-moderate levels of task conflict are functional and consistently demonstrate a positive effect on group performance because it stimulates discussion, improving group performance. Dysfunctional conflict hinders the group performance. It is unhealthy, destructive, and causes disagreement between two or more people. It may originate from emotional or behavioural causes and may involve anger and aggression. In dysfunctional conflict, the losses to both parties may exceed any potential gain from the conflict.

Based on choice

Based on choice we have:

- Approach – approach conflict which occurs when a person must choose between two positive and equally attractive alternatives. For example, choosing between a valued promotion in the organisation and a desirable new job with another firm.
- Avoidance – avoidance conflict which occurs when a person must choose between two negative and equally unattractive alternatives. For example, being asked either to accept a job transfer to another town in an undesirable location or to have one's employment with an organisation terminated.

- Approach – avoidance conflict which occurs when a person must decide to do something that has both positive and negative consequences. For example, being offered a higher paying job whose responsibilities entail unwanted demands on one's personal time.

Based on parties involved

Conflict can be intrapersonal (within the person) and no others are involved or Interpersonal. Let us now discuss these two types of conflicts in detail.

- **Intrapersonal** – A person may suffer intrapersonal conflict for various reasons. They are:
 - **Cognitive conflict** – An intellectual discomfort created by trying to achieve incompatible goals.
 - **Affective conflict** – Occurs when emotions are incompatible with the goals. For example, the need to smile at the customers after a sad event at home.
 - **Inter-role conflict** – Occurs when a person experiences conflict among the multiple roles in his or her life. For example, role of a mother and role of an executive secretary who gets home late or role of a union leader supported by the management and the role to defend a worker from abuse of the management.
 - **Intra-role conflict** – This is conflict within a single role. It often arises when a person receives conflicting message from role senders (the individuals who place expectations on the person) about how to perform a certain role. For example, the company policy defines high standards of ethics but the role occupant is asked by the manager to offer a bribe to get a sanction.
 - **Person-role conflict** – Occurs when an individual in a particular role is expected to perform behaviours that clash with his or her values. For example, salespeople may be officially required to offer the most expensive item in the sales line first to the customer, even when it is apparent that the customer does not want or cannot afford the item. This may conflict with the salesperson's values or past experience, and he or she may experience person-role conflict.
- **Inter-individual or interpersonal conflict** – When two individuals disagree about issues, actions, or goals and the outcomes are important to both, there is inter-individual conflict. Inter-individual or interpersonal conflict often arises from differences in individuals'

status, perceptions, and orientations. Such conflicts may motivate the individuals to reveal additional, relevant issues or it may prevent any further communication. Some individuals are more likely to engage in conflict than others.

Based on levels of conflict

Based on the level of conflict, there can be three types of conflicts. They are:

- **Individual-group conflict** – Here, the individuals find themselves in conflict with groups. For example, a manager differing with the departmental policy. This could be a conflict especially if the norm is that all should agree to the departmental head without a question. A group can be in conflict with a manager if the group disagrees with the decision of the manager. For example, action taken to suspend an employee being resisted.
- **Inter-group conflict** – This involves conflict between groups of people, irrespective of the size of the group. Included in this category, therefore, is interdepartmental conflict within organisations.
- **Organisational level conflict** – Conflict can also exist between organisations. For example, selling the same product in the same market often leads to conflict. A school may be in conflict with another on some issue, etc.

Based on organisational source

Prominent among the sources of conflict in organisations are:

- **Line and staff conflict** – The growth of highly specialised, creative, and well-educated staff poses unique problems for line managers. Faced with a growing dependence on staff, line managers must adjust to a reduction in organisational power and prestige. Conflict in most organisations persists between line and staff, because it is virtually impossible to define precisely the responsibility and authority relationships between the two.
- **Organisation-individual disagreements** – From one perspective, the conflict between the organisation and the individual centres around the individual's failure to fulfil the organisation's expectations regarding productivity or compliance with rules. From another perspective, the conflict is often seen as resulting from excessive organisational

demands. Such conflicts may be overt or hidden from view, depending on the perception each side has about the power of the other.

- **Overlapping responsibilities** – Organisations constantly change in response to personnel turnover, expansion or contraction, the adoption of new policies, changes in external environment, etc. As a result, it is impossible to establish job responsibilities once and for all. When a change occurs, one person reaches out to assume more responsibility, another retrenches, and still another tentatively assumes responsibility for certain functions without knowing definitely who should be performing them. Thus, the stage is set for conflict.
- **Functional interdependence** – Conflicts between an organisation's functional units such as sales, accounting, and manufacturing are commonplace. The sales department is at odds with manufacturing because quality is too low or prices are too high to meet the competition. Although departments are separated on the basis of function, they can never function as completely autonomous units. They must somehow resist the constant urge to view the organisation in terms of their narrow self-interests.
- **Personality clashes** – Individual differences in such personal qualities as values, attitudes, abilities, and personality traits are often the cause of conflict. Two managers may learn to despise each other thoroughly for reasons totally unrelated to their work, but their performance on the job may suffer because of it.
- **Disagreement over goals** – Conflict among managers is often caused by the fact that there is poor agreement over goals. Perhaps, an even more common source of conflict is the clash of the personal goals of managers and employees with the goals of the organisation.
- **Bottlenecks in the flow of work** – Line supervisors in manufacturing must meet the production deadlines, but they are dependent upon production schedules, warehousing, shipping, and others for effective performance. A bottleneck at any point can prevent the line supervisors from being effective and is quite naturally an occasion for interpersonal conflict.

Managing Conflict

There are five styles of managing conflict. These and the example of situations when these can be used are given in the Table 14.3:

Table 14.3: Conflict Management Style

Conflict-handling Style	Appropriate Situation
Competing	1. When quick, decisive action is vital (e.g., emergencies). 2. On important issues where unpopular actions need implementing (e.g., cost cutting, enforcing unpopular rules, discipline). 3. On issues vital to company welfare when you know you are right. 4. Against people who take advantage of non-competitive behaviour.
Collaborating	1. To find an integrative solution when both sets of concerns are too important to be compromised. 2. When your objective is to learn. 3. To merge insights from people with different perspectives. 4. To gain commitment by incorporating concerns into a consensus. 5. To work through feelings that have interfered with a relationship.
Compromising	1. When goals are important but not worth the effort or potential disruption of more assertive modes. 2. When opponents with equal power are committed to mutually exclusive goals. 3. To achieve temporary settlements to complex issues. 4. To arrive at expedient solutions under time pressure. 5. 14. As a backup when collaboration or competition is unsuccessful.

Avoiding	1. When an issue is trivial or more important issues are pressing. 2. When you perceive no chance of satisfying your concerns. 3. When potential disruption outweighs the benefits of resolution. 4. To let people cool down and regain perspective. 5. When others can resolve the conflict more effectively. 6. When issues seem tangential or symptomatic of other issues.
Accommodating	1. When you find you are wrong to allow a better position to be heard, to learn, and to show your reasonableness. 2. When issues are more important to others than to you to satisfy others and maintain cooperation. 3. To build social credits for later issues. 4. To minimise loss when you are outmatched and losing. 5. When harmony and stability are especially important. 6. To allow employees to develop by learning from mistakes.

Self Assessment Questions

7. Conflict is any situation in which incompatible goals, attitudes, _____ or _____ lead to disagreement or opposition between two or more parties.
8. Based on the organisational outcomes, we can classify conflicts into _____ and _____ conflicts.
9. When a conflict occurs where a person must decide to do something that has both positive and negative consequences, it is called _____.
10. Conflict handling styles are _____, _____, compromising, avoiding and accomodating.

14.5 Negotiation

Negotiation is a “process in which two or more parties exchange goods or services and attempt to agree upon the exchange rate for them” (Robbins, 2008). It occurs when:

- There is a conflict of interest between two or more parties, that is, what one wants is not necessarily what the other one wants.
- Either there is no fixed or established set of rules or procedures for resolving. The parties prefer to work outside of a set of rules and procedures to invent their own solution to the conflict.

The precondition to negotiation is that the parties, at least, for the moment prefer to search for agreement rather than to fight openly. There are two types of negotiations. They are direct and third party.

- Direct negotiations can be:
 - **Distributive bargaining** – Here the approach is to get the opponent agree to your view (at least some specific ones). Each party may hold out or one may give some concession to the other. The former is called hard negotiation and the latter soft negotiation. Resources, interest, and relationships come into negotiation and would result in dividing the resources, defining the way the relation can be continued, etc.
 - **Integrative bargaining** – This is another form, where the strategy is adopted to create a win-win solution. Integrative bargaining builds long-term relationships and facilitates collaborative work. For success, the parties must be open with information and candid about their concerns, be sensitive to each other, trust one another, and) be flexible.
- **Third party negotiation** – When individuals and groups reach a stalemate and are unable to resolve their differences through direct negotiations, especially when a conflict is emotionally charged, they may turn to a third party to help them find a solution. The third party may be a manager, a well-respected colleague, or someone whose formal role is to resolve conflicts. This takes the following forms.
 - **Mediator** – A mediator is a neutral third party who facilitates a negotiated solution by using reasoning and persuasion, suggesting

alternatives, etc. A mediator's role involves exerting high control over the process but not the outcome. A mediator interviews the parties separately, and then tries to help them reach a solution by bringing those together or ferrying messages back and forth during labour-management negotiations.

- **Arbitrator** – An arbitrator is a third party with the authority to dictate an agreement. An arbitrator's role involves exerting low control over the process and high control over the outcome. The arbitrator allows each party to present facts or arguments and then decides on the outcome and may even enforce it. Arbitration can be voluntary or compulsory.
- **Consultant** – A consultant is a skilled and impartial third party who attempts to facilitate problem solving through communication and analysis, aided by his or her knowledge of conflict management. This approach has a long-term focus to build new and positive perception and attitude between the conflicting parties.
- **Inquisitor** – The role of an inquisitor involves high control over both the process and the outcome of conflict resolution. An inquisitor asks questions, directs the way evidence is presented, calls for additional evidence, and referees the arguments and then decides the outcome of the dispute and enforces his or her decision.

The negotiation process

We can identify four basic steps in the negotiation process. They are:

1. Preparation

Here, each party gathers information about the other side – its history, likely behaviour, previous interactions, and previous agreements reached by the parties. Each party polls its members to determine their wishes, expectations, and preferences regarding a new agreement.

2. Evaluation of alternatives

Here the parties evaluate the range of acceptable agreements and from that identifies the 'Best Alternative To a Negotiated Agreement (BATNA)'. BATNA determines the lowest value acceptable to you for a negotiated agreement for both the parties and it is usually used in negotiations where price, cost, etc are involved.

3. Identifying interests

Negotiators must then act to satisfy their own interests. This may include substantive relationship, personal or organisational ones. The person or group must assess the other party's interests and then decide how to respond to those interests in their offers.

4. Making trade-offs and creating joint gains

Bargainers use trade-offs to satisfy their own and others' interests. Either position would meet the interests of maintaining a certain standard of living. One way to assess tradeoffs is to begin by identifying the best and worst possible outcomes, next, specify what impact trade-offs will have on these outcomes, and finally, consider whether the changed outcomes will better meet the parties' interest.

Negotiators need to overcome the idea that a fixed pie of outcomes exists, avoid non-rational escalation of conflict, pay attention to others' cognitions, and avoid devaluing the others' concessions while overvaluing their own.

Self Assessment Questions

11. Negotiation is a process in which two or more parties exchange goods or services and attempt to agree upon the exchange rate for them. This occurs when there is no fixed or established set of rules set and _____.
12. For integrative bargaining to be a success, the parties must be open with information and candid about their concerns, be _____ to each other, _____ one another, and be flexible.
13. A mediator is a _____ third party who facilitates a negotiated solution by using reasoning and persuasion, suggesting alternatives, etc.

14.6 Stress

Stress is the perceived threat to one's physical or psychological well being. Because of the silent nature of the perceived threat, stress is often called a 'silent killer'. The term perceived is important because what is stress to one may not be stress to another because of the perceptual difference. Stress is caused due to the secretion of adrenalin into the blood in response to a danger. This chemical increases our breathing, heartbeat, etc and gives the extra energy to fight the threat. Without this adrenalin cycle, life will not be

possible as we may not respond to a threat and may be harmed. Thus stress is useful and is called eustress. But when the threat goes away, the cycle should get cut off, and we should come to normal. In the case of psychological stress and especially due to the intensity and frequency of threat in modern life or because of the make of an individual, the cycle does not get cut off. Then, it becomes bad and is called distress. Hence, all stress start as eustress and then convert into distress. This is diagrammatically represented in the Figure 14.1.

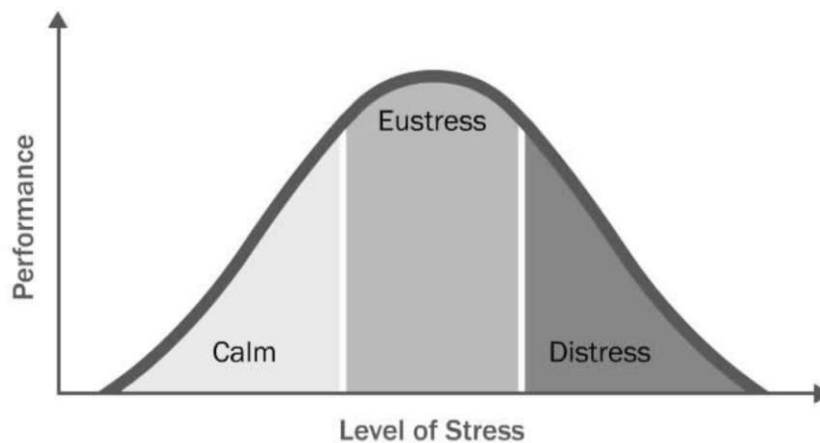


Fig. 14.1: Stress and Performance

Stress has three stages namely:

- **Alarm stage** – This stage starts with anxiety and panic. For example, when a dog chases us or when we are told that some of the employees may be laid off and that you could be one of them.
- **Resistance** – Here, the person summons the resources to cope with the stressor and channels the energy for this. The symptoms of the alarm stage vanish. It is seen that the immune system function tends to decline during periods of stress.
- **Exhaustion** – Many stressors are short term and tend to vanish. For example, examination stress vanishes after the examination. But occasionally, a stressor persists. Then the person may enter the third stage, i.e., exhaustion. In this stage, the symptoms of the alarm stage return and the person eventually uses up his or her adaptive energy.

Consequences of Stress

This can be emotional such as anxiety, anger, depression, irritability, frustration, over-reaction to everyday problems, memory loss, and a lack of concentration for any task. Anxiety is exhibited as a response to loss, failure, danger, or a fear of the unknown. Anger is a response to frustration or social stress and can become a danger to other individuals, if not kept in check. Depression is frequently seen as an emotional response to upsetting situations such as the death of a loved one, illness, or failure. It can also be psychological, i.e., long-term stress can cause psychological problems in some individuals. Symptoms may include social isolation, phobias, compulsive behaviors, eating disorders, night terrors, etc.

Reasons for stress

Reasons for stress are wide, varied, and literally anything depending on the perception. Some of them are given below:

- **Inner conflicts** – Non-specific fears, anxiety, and guilt feelings maintain the body in a state of readiness for emergency action on a continuing basis.
- **Perceptual influences** – Perception is influenced by a number of internal factors. Certainly, people with inner conflicts sufficient to cause stress are more likely than self-confident people to perceive environmental conditions as threatening. Because the environment is presumed to be full of danger, evidences of danger are perceived everywhere.
- **Task demands** – They include the design of the individual's job, working conditions, and the physical work layout. Changes and lack of control are two of the most stressful demands people face at work.
- **Lack of control** – This is the second major source of stress and may be due to timing of tasks and activities. For example, to select tools or methods for accomplishing the work, to make decisions that influence work outcomes, or to exercise direct action to affect the work outcomes.
- **Role demands** – We have seen how roles affect job. In sum, they can be due to clash of two roles, conflicting requirement due to two roles, and conflict between the role demand and ethics and values of the role owner.

- **Inter-personal demands** – Lack of social support from colleagues and poor interpersonal relationships can cause considerable stress, especially among employees with a high social need. Abrasive personalities, sexual harassment, and the leadership style in the organisation are interpersonal demands for people at work.
- **Physical demands** – Non-work demands also create stress. For example, family demands. People have personal demands related to non-work, organisational commitments such as religious and public service organisations etc.

Consequences of stress

We know the consequences of stress. It can show in three ways:

- Physiological symptoms such as hypertension, heart disease, skin disease, etc. There are at least 23 silent killers.
- Psychological symptoms such as job-related stress can cause job-related dissatisfaction, lack of clarity on the job, lack of attention, deficiencies in problem solving, etc. The less control people have over the pace of their work, the greater the stress and dissatisfaction.
- Behavioral symptoms which include changes in productivity, absence, and turnover, as well as changes in eating habits, increased smoking or consumption of alcohol, rapid speech, fidgeting, sleep disorders, etc.

Managing stress

Individual approaches

This includes individual strategies such as implementing time management techniques; increasing physical exercise; relaxation training; expanding the social support network; non-competitive physical exercise; relaxation techniques such as meditation, hypnosis, and biofeedback; and having friends, family, or work colleagues to talk to provide an outlet for excessive stress.

Organisational approaches

These include improved personnel selection and job placement, use of realistic goal setting, redesigning of jobs, aligning the individuals and job effectively and reduce stress, right person-job-fit thereby reducing chances of non-performance and stress level, and training in stress management

techniques. Increased employee involvement improves motivation, morale, commitment, and leads to better role integration and reduction in stress. Improved organisational communication helps in establishment of corporate wellness programs.

How can one manage stress better?

- ***Become aware of the stressors and the emotional and physical reactions*** – Notice what causes distress. Ignoring them is not a solution. Listing them and evaluate how you perceive these. Then you can change your perception and most likely, your stress would be gone.
- ***Recognising what can be changed*** – If you have created the above list and cannot change the perception or eliminate them, you can shorten an individual's exposure to stress and devote more time for goal setting, time management techniques, etc.
- ***Reduce the intensity of the emotional reactions to stress*** – The stress reaction is triggered by our perception of danger: physical danger and/or emotional danger. Are we viewing our stressors in exaggerated terms and/or taking a difficult situation and making it a disaster? Are we trying to please everyone? Are we overreacting and viewing things as absolutely critical and urgent? Do we feel we must always prevail in every situation? If we adopt moderate views, we will be less stressed.
- ***Learning to moderate our physical reactions to stress*** – Slow, deep breathing, and relaxation techniques and electronic biofeedback can help you to gain voluntary control over such things as muscle tension, heart rate, and blood pressure. Medication is also an excellent tool.
- ***Build our physical reserves*** – Regular systematic exercise can reduce the effect of stress.
- ***Maintaining our emotional reserves*** – Developing some mutually supportive friendships and stable relationships help in sharing bottled-up emotions and reduce stress. Pursuing realistic goals also reduce stress.

Self Assessment Questions

14. Stress is the _____ threat to one's physical or psychological well being.
15. Stress has three stages which are _____, _____, and _____.

16. One of the reasons for stress is Inner Conflicts. It means_____, _____and guilt feelings.
17. Design of the individual's job can cause stress. (True/False)

14.7 Summary

Let us recapitulate the important concepts discussed in this unit.

- Power may be formal or informal. Formal power comes by virtue of position.
- Formal power may be coercive power, reward power, legitimate power or information power.
- Personal power or informal power does not depend on one's position.
- It may be expert power, rational persuasion, referent power, charismatic power.
- The purpose of power is to influence people. The eight basic types of influence tactics are pressure, upward appeals, exchange, coalition, ingratiation, rational persuasion, inspirational appeals and consultation.
- Organisational politics refers to the use and manipulation of situations, power, and people to secure their position and gain from the situation. It may be done by letting others down and by increasing their own power, image, and status within the organisation.
- Conflict may be defined as "any situation in which incompatible goals, attitudes, emotions, or behaviours lead to disagreement or opposition between two or more parties."
- Based on organisational outcomes, conflicts may be functional or dysfunctional. Based on choice, conflicts may be approach- approach conflict, avoidance-avoidance conflict, approach-avoidance conflict.
- Conflict handling styles are competing, collaborating, compromising, avoiding, accommodating.
- Negotiation is a "process in which two or more parties exchange goods or services and attempt to agree upon the exchange rate for them".
- Negotiation may be direct or third party negotiations. Direct negotiations can be distributive or integrative bargaining. Third party negotiations may take the form of mediator, arbitrator, consultant or inquisitor.
- Negotiation process involves preparation, evaluation of alternatives, identifying interests and making trade-offs and creating joint gains.

- Stress is the perceived threat to one's physical or psychological well being. It has three stages – alarm, resistance and exhaustion.

14.8 Glossary

- **Avoidance:** The opportunity to avoid or escape from an unpleasant circumstance after exhibiting a behaviour. Avoidance occurs when the interacting parties' goals are incompatible and the interaction between groups is relatively unimportant to the attainment of the goals.
- **Accommodation:** Occurs when the parties' goals are compatible and the interaction between groups is relatively unimportant to the goals' attainment.
- **Distributive bargaining:** This is a negotiation technique. Each party may hold out or one may give some concession to the other.
- **Distress:** The unpleasant stress that accompanies negative events.
- **Eustress:** The stressors like anxiety that lead to action and performance.

14.8 Terminal Questions

1. What are the components of formal power ?
2. List the conflict management styles.
3. What are the types of negotiations ?
4. Explain the causes for stress.

14.9 Answers

Self Assessment Questions

1. formal, informal
2. Inspiration
3. Knowledge
4. Manipulation
5. False
6. Record

7. Goals, attitudes, emotions or behaviours
8. Functional, dysfunctional
9. Approach–avoidance
10. Competing, collaborating
11. Conflict of interest
12. Sensitive, trust
13. Neutral
14. Perceived
15. Alarm, resistance, and exhaustion
16. Non-specific fears, anxiety
17. True

Terminal Questions

1. The components are coercive power, reward power, legitimate power and information power. Refer Section 14.2 for more details.
2. Conflict management styles are competing, collaborating, compromising, avoiding, accommodating. Refer Section 14.4 for more details.
3. The two types of negotiations are direct negotiations and third party negotiations. Refer Section 14.5 for more details.
4. Some of the causes for stress are inner conflicts, role demands, task demand etc. Refer Section 14.6 more details.

References:

- Greenberg, J. (2010), *Behavior in Organizations: Global Edition*, 10th edition, Pearson.
- Stephen, R. (2010), *Organizational Behavior*, 10th edition, Prentice Hall.